



DAY TRADING

COMPILATION

SYNOPSIS

Document Details various types of trading with a brief introduction and then a special focus on Day Trading with the available Courses

ANONYMOUS

Author prefers to be anonymous. To assure you has enough experience as a Price Action Academician and more than decade long experience with IB

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INTRODUCTION

In the world of Stock and Commodities trading there are various forms of Analysis and trading.

Forms of Analysis:

Fundamental Analysis: Study is done on the company performance i.e. business and a future value is derived based on various Models. The analysis involves studying the various statements of the company i.e. Balance Sheet, Annual Reports, PNL Statement, Cash Flows.

The analyst also performs various other analysis which will be explained in the Fundamental Analysis write up.

Technical Analysis: Study is done on the various price charts in conjunction with Volume, various indicators derived out of price and volume. This data is used for the future projection of prices and trade is taken based on the analysis and proper risk management.

Price, Volume and the acceleration, deacceleration are the key factors on which technical analysis is based. [There are various other Models like GANN, Eliot, Neo-Wave but all used Price, Swings of Price, Volume, Acceleration, Deacceleration of Price and Volumes, Relative analysis of Price and Volume]

TYPES OF TRADING

Day Trading

Position i.e. Buy or sell are taken in the market place with the intention to square off before close of market. This write up will details this style of trading

C/Fwd Trading

Position i.e. Buy or Sell [Futures or where Sales C/Fwd is permitted] is taken with the intention to square off the position the next day at open or during the next Day [Popularly known as BTST]

Swing Trading

Position i.e. Buy or Sell [Futures or where Sales C/Fwd is permitted] is taken with the intention to hold it for few days to weeks

Trend Trading

Position i.e. Buy or Sell [Futures or where Sales C/Fwd is permitted] is taken with the intention to carry the trade unless the trend has given indication to change

Options Selling Trading

Since option trading were introduced there are many ways to trade options i.e.
Direction Options Trade
Stratergy Based Options Trading
Options Selling
Hedging
Options + Stocks / Futures Strategies
Etc

GAMBIT OF DAY TRADING

INTRODUCTION

Day Trading involves the following: -

- Buying a stock in anticipation of prices to move upwards and later on selling it in order to profit from it
- Selling a stock in anticipation of prices to move downwards and later on buying the stock to profit from it
- Positions are never carried from one day to another
- Requires specialised skill since it involved lot of speed and accuracy element

KEY POINTERS OF DAY TRADING

- Involves good reading of price action, volume
- Speed is the key here [both execution and thoughts]
- You will be dealing with lot of machines i.e. ALGOS

ADVANTAGES

- No Overnight RISK as positions are squared off
- Margins are released at the end of the day so you are on cash at the EOD
- In Liquid markets you can enter and exit positions with ease [of retail classification of traders]

CHALLENGES

- Speed of execution and thoughts is very important
- Need to give up position very quickly in case analysis is not correct
- Trends are short lives and sometimes the risk reward is very low [Not always]
- Is considered to be the most difficult form of trading as per the trading fraternity [my thoughts differ a bit here]

DIFFERENT METHODOLOGIES OF DAY TRADING

[There might be many methodologies but the below ones are experienced by me hence can explain in detail]

[You can refer to this as a source to start your journey for day trading]

WHAT WORKS IN DAY TRADING?

- PRICE ACTION, PRICE ACTION, PRICE ACTION [SOONER OR LATER YOU WILL COME HERE]
 - DECISION POINTS
 - MULTI TIME FRAME ANALYSIS
 - SUPPLY DEMAND
 - CONTRACTION / EXPANSION OF PRICES
 - KEY LEVEL TRADING
 - VSA, ETC
 - VERY FEW INDICATORS IN CONFIRMATION WITH PRICE

RISK MANAGEMENT

This involves the following aspects

- How to use your capital for trading
- Position Sizing
- Risk Per Trade
- When to Scale Up [Increase Position Size]
- When to Scale Down [Decrease Position Size]

Sources to Study Risk Management:

- <https://www.youtube.com/watch?v=vAPLia6-jOQ>
- <https://www.youtube.com/watch?v=n5BtIStQQqA>
- <https://youtu.be/aUgaUeCmSOQ>
- <https://youtube.com/playlist?list=PL9myHLrE5hrOgq9VGfWAFKm58-fuD4Kbo>
- Mark Minervini Books all of them

TRADING PSYCHOLOGY

- This involves your thought process i.e. Traders Mindset
- It is very important because this is like a business and unlike our day to day job does not have a constant source of income
- We are dealing with UNCERTAINTIES AND PROBABILITIES

Sources to Study

- <https://www.youtube.com/watch?v=B9Z9qUTTuhA>
- <https://www.youtube.com/watch?v=H7LKJ59yQow>
- All books and videos by Mark Douglas

DECISION POINT

Developed by Nifty Nirvana – Trading using this method involves using decision points popularly known as DP trading

Sources to Study

- https://www.youtube.com/watch?v=qCJdDP_yTMo
- <http://niftynirvana.blogspot.com/>
- Books are available in nifty nirvana free of cost
- It has 100's of examples since 2012
- Best Practitioner for DP trading known to me @Only_Nifty [Twitter handle]

PURE PRICE ACTION TRADING

This is the most important and key aspect for intraday trading [Even DP trading is derived from this form of trading and due respect is given to YTC in nifty Nirvana Blog]

This study involves to study price in the entirety and derive conclusions from the same

Sources to Study

- Your Trading Coach Blog and Six Volume Study Guide [Author Lance Beggs]
- <https://yourtradingcoach.com/blog>
- Books and Course by Al Brooks [Very difficult and In Depth]
- Logical Price Action [Based on Wyckoff has Intraday as well] [Very detailed and easy to grasp]
- BOOK: Price Action Break Down by Laurentiu Damir
- Good Indian Courses
 - o **VP Financials** [Risk Reward is bit of Challenge but the mentor is good]
 - o **A&A Trading Blog** [Good for Beginners, low cost good study material]
 - o <https://www.cnceptual.com/> [Good with Price Action + Open Interest]

PIVOTS TRADING WITH PRICE ACTION

In the Beginning dealing directly with price action becomes very difficult hence there are some good support indicators to assist in Price Action reading.

Pivot trading is one of them, these Pivots are static Pivots which are derived from previous Day prices and then used in the current day, you might hear terms like R1,R2,R3 S1,S2,S2 CPR etc

Sources to Study

- Secrets of Pivot Trading by Franklin Ochoa [Source for all Pivot Related Materials]
- AJ Trading School <https://ajtradingschool.wordpress.com/>
 - o Good focussed Price Action + Pivot based Study
 - o Post Course Support for one month
- Your Intraday Coach [Looks okay for me concepts are from Lance Beggs + Pivots]
- <https://pivotcall.com/> ➔ By Vikram [Price Action + Pivots – Good for Beginners]
- <https://www.cprbykgs.com/> by Gomathi Shankar [Found this also fine]

SMART MONEY CONCEPTS [SMC]

This method involves following Big Traders who trade with huge capital. The idea is to estimate their entries / exits / intentions and to profit from their flow of money.

It involves Supply / Demand and Price Expansion / Contraction

Not many good Indian courses books available on this one.

Sources to Study

- Book: Volume Price Analysis – Anna Coulling
- <https://dotnettutorials.net/lesson/how-to-trade-with-smart-money/>
- Many Forex Courses can give you some leads need to be adopted then
 - o Vertex – MentFx – Phantom Trading Courses are really good
- Trading in the Shadow of Smart Money – Tom Williams

VWAP TRADING

This is normally not a method to be used in isolation it can be coupled with Price Action.

VWAP (for the day) normally depicts where the majority of trading for the day has been done.

Sources to Study

- <https://dotnettutorials.net/lesson/vwap-trading/>
- https://www.youtube.com/watch?v=lruE3_h8RmQ&t=37s
- How to Day Trade for a Living – Andrew Aziz

SOME GOOD FREE SOURCES TO LEARN

Here are some good free sources to start and get a hand of Intraday Trading

- <https://youtube.com/playlist?list=PL9myHLrE5hrPMGyFDPv-IQmJCgxVwRaMf>
- <https://youtube.com/playlist?list=PLEBJVA1q-TlIF3nYpsK8NuD0FaXeidPyj>
- https://youtube.com/playlist?list=PLEBJVA1q-Tln_ZvZzPzKdCPZN4GvwyGji
-

KEY POINTS LEARNED DURING EXPLORING AND STUDYING THE ABOVE MATERIALS

- I. RISK MANAGEMENT AND PSYCHOLOGY ARE MANDATORY. You can use any other methods listed above or combination of them to trade
- II. Always focus on ACTION oriented learning i.e. that is focussed on execution of your strategy
- III. Calculate the returns on the basis of Capital Deployed and not in absolute returns
- IV. Any Technique does not work all the time. The key is TO STAY AWAY WHEN THE PARAMETERS ARE NOT MATCHING
- V. When you are trading and have a lot of trades to your experience you will come to know that sometimes you will have to SCALE UP depending on circumstances and sometimes you need to stay away from the markets – THIS IS THE KEY
- VI. Not to HOP Systems unless it does not match your trading Style
- VII. Do not go by Profit Screen Shots – The good way to Show profits is like Companies Show in the Annual Reports all other ways to display profitability is a BLUFF
- VIII. Note down your shortcomings and try to slowly overcome them via guidance or self learning
- IX. Repeat what works for you and discard the ones which does not work for you
- X. Always see the results as a SET OF TRADES i.e. 20/30 Trades and check the outcome. Do not consider only one trade to determine the overall outcome
- XI. For PRO traders day trading is not scalable beyond certain extent it is one of the forms of trading in the Arsenal apart from other forms
- XII. Markets are continuously evolving but the base concepts remain the same with incremental changes that need to be adopted

DISCLAIMERS & BEST PRACTICES

This document is based on exploring, studying, discarding, practising the above concepts either through taking the courses or studying from books.

The compilation is done based on the best of my information and for your perusal. Please excuse me on any mistakes or omissions there are tons of things that I might not be aware of or might be unexplored by me till now.

The above material is compiled for the ones who are searching for information at one place, this is sort of give back for the help **FTU Community** has given me till date.

Day Trading is a full time profession you can practise it with job and only when successful take it as a profession. While at job have a fixed time to trade and develop a discipline to trade only during those hours. If there are no trades coming your way just don't force the trades accept it as a blank day and get back to work.

Lastly if you are still reading then looks like you have a firing need to learn pick up a methodology from the above and start practising

Take a method check it suits you, backtest and check if it works and then EAT, SLEEP, LIVE with that method. As per me approximately 3-12 months minimum only learning [Depending on your background, commitment etc] is required and 1-2 years or practise is required to become a profession SURGEON OF DAY TRADING.